Are Retirees More Flexible with Asset Allocation?

The basic asset allocation framework for safe withdrawal rate studies is to assume a few basic asset classes held in fixed proportion over retirement. William Bengen's original research used large-capitalization US stocks and intermediate-term government bonds. Later he also incorporated small-capitalization stocks into the mix and looked at different types of bond investments. Occasionally, we also see some basic attempts at including international diversification in the asset allocation. Expanding asset class choices can support a higher sustainable spending rate. As for asset allocation glide paths, a fixed asset allocation over retirement has been standard. But it is worth exploring further about the implications of declining or rising equity allocations throughout retirement as well.

Broader Diversification Is Possible

Safe withdrawal rates are connected in vitally important ways to underlying asset class choices and their return/volatility characteristics. Often, retirees are limited to accepting whatever a researcher assumes about market returns in order to obtain guidance about sustainable spending rates. I talked about why I found this troubling in my article "Capital Market Expectations, Asset Allocation, and Safe Withdrawal Rates," from the January 2012 *Journal of Financial Planning*. It provides a framework for connecting these pieces together, in turn letting retirees move beyond existing research assumptions to identify a more personalized safe withdrawal rate.

Reconciling the assumptions underpinning safe withdrawal rate studies with your own capital market expectations and constraints is a daunting task. My article proposed a general framework for determining a safe withdrawal rate for a given retirement duration, acceptable failure probability, asset allocation, and capital market expectations. Retirees do not need to be constrained by the assumptions and choices of others.

Most researchers use one set of capital market expectations to study aspects of safe withdrawal rates. Often, they base their analyses on US historical data going back to 1926. This is far from a perfect solution. When determining a forward-looking safe withdrawal rate, the most important factor is our expectations about future market returns as driven by their underlying